

make a quick switch from stock to stock or stocks to cash, and vice versa. No way. The result is the highly volatile market we have today. It makes very large, very abrupt moves that create impossible situations for timers. By the time they have figured out what's going on, it's already too late.

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The incessant stock switching of many professional managers is like a bride's announcing at the wedding reception that she is planning her divorce.

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The effect of the globalization of economies and markets—to a degree that far surpasses that of even ten years ago—has had an enormous impact on what happens in our own market. The shift from an industrial to a service economy has also made older data suspect. Wall Street inventions such as program trading and derivatives have introduced new factors that have further muddled the picture. Lately, the influx of hundreds of billions of dollars into mutual funds has tossed in another fresh element.

All those indicators that are supposed to tell you when the bull market is over can, again, be unreliable extrapolations of past behavior. As a prime example, in October 1992 the dividend yield of the S&P 500 fell below 3 percent, and it has been common wisdom that whenever that occurs, the market is ready for a tumble. It always happens, proclaimed the soothsayers (citing 1987 as another instance), and it always will. When the bear didn't pounce, the timers blamed dropping interest rates and rising corporate earnings but declared they were only stalling the inevitable. But still no great correction came, even though the yield stayed under 3 percent. By mid-1996 the dividend yield on the S&P 500 hit a record low of 2.1 percent, while the market was still making new highs.